markets that tolerated high leverage in the boom only to become risk averse in the bust…

There are plenty of suspects, and enough blame to spread. But if all are to blame, though, should we also not admit they all had a willing accomplice – the euphoria generated by the boom. After all, who is there to stand for stability and against the prosperity and growth in a boom?

Internal risk managers, having repeatedly pointed to risks that never materialized during an upswing, have little credibility and influence – that is if they still have jobs. It is also very hard for contrarian investors to bet against the boom – as Keynes said, the market can stay irrational longer than investors can stay solvent. Politicians have an incentive to ride the boom, indeed to abet it through the deregulation sought by bankers. After all, bankers not only have the money to influence legislation but also have the moral authority conferred by prosperity.

And what of regulators? When everyone is for the boom, how can regulators stand against it? They are reduced to rationalizing why it would be technically impossible for them to stop it. Everyone is therefore complicit in the crisis because, ultimately, they are aided and abetted by cyclical euphoria. And unless we recognize this, the next crisis will be hard to prevent.

For we typically regulate in the midst of a bust when righteous politicians feel the need to do something, when bankers' frail balance sheets and vivid memories makes them eschew any risk, and when regulators have backbones stiffened by public disapproval of past laxity.

But we reform under the delusion that the regulated, and the markets they operate in, are static and passive, and that the regulatory environment will not vary with the cycle. Ironically, faith in draconian